

though, the longer a global economic expansion runs, the more gold prices fall.

The Oldest Commodities Index

The commodities markets are much older than the stock markets. Some commodities prices go back thousands of years. The Commodity Research Bureau (CRB) index data used for this chapter go back more than 70 years.

The Bureau of Labor Statistics began the computation of a daily commodity price index in 1934. This eventually became the CRB Spot Market Price Index, a comprehensive measure of the price movements of 22 actively traded commodities. These commodities include cocoa beans, corn, steers, sugar, wheat, burlap, copper scrap, cotton, lead scrap, print cloth (spot), rubber, steel scrap, wool tops, butter, hides, hogs, lard, rosin, tallow, tin, zinc, and the basic energy-related items. Initially, the prices compiled to create the index were obtained from trade publications and government agencies. Today, prices are more readily available to everyone through electronic exchanges.

There are also numerous composite indexes that track all commodity prices. Some of those are new, and some have been around for a long time. Energy typically dominates the commodities markets by size, and it accounts for about 80 percent of the value of all commodities traded. Consequently, capitalization-weighted indexes are dominated by energy prices.

The CRB Index is an equally weighted index. This means that the price movement in cotton has the same impact as the price movement in oil. Equal weighting gives us a better picture of how the average commodity price performed regardless of its footprint on the economy. [Figure 10-2](#) is a graphical history of the inflation-adjusted CRB Spot Index since 1947.

FIGURE 10-2

CRB Commodities Spot Prices, Inflation-Adjusted: Base of 100 in 1947